LINKING HUMAN RESOURCES

Organizational Structure

Organizational structure development came from studying organizations, groups, and societies and how they process principles and concepts to make their systems work. This discipline is called organizational analysis. An organization is a group of individuals with a specific purpose, especially in business, society, and associations.

It is a social unit with three (3) properties (Hannan, 2015):

- It is a corporate or group actor;
- It claims a special and limited purpose — it has objectives; and
- The creators of the organization intend to make it last.

The study of organizations was spearheaded by German sociologist Max Weber, who began the scientific analysis of organizations. He coined that in organizations, authority arises in situations in which one accepts the direction of another. Actives from these structures range from rules, roles, and responsibilities providing a chain of command (Kenton, 2018).

An organizational structure defines each worker's job and how it fits inside the system. Organizational structures also provide visual cues on how the organization works, often illustrated through charts or diagrams. Enterprises must have an organizational structure so that employees may address issues or report for work to the correct personnel.

Major Types of Organizational Structure

Figure 1. Centralized and Decentralized Organizational Structures
Source: https://geoffmcdonald.com/examples-of-centralized-and-decentralized-organizations

Decentralized organizational structure

In this type of organizational structure, several people make decisions and run the operations of their groups/departments. They report directly to an immediate head that can also make decisions. Though they can all make decisions, their thoughts should be aimed at achieving the goal of the enterprise. This organizational structure relieson a team, group, or department environment in different business areas.

Centralized organizational structure

This structure relies on one individual to make the decisions and provide directions for the enterprise. Technopreneurial enterprises, especially start-ups, can benefit from this structure since the owner is responsible for its operations.It follows a strict hierarchy and chain of command. Military organizations use this type of structure.

Types of Centralized Organizational Structure

Several types of centralized organizational structures already exist. Some are beginning to emerge as a feasible variant for the future of employment and could be used by start-up technopreneurialenterprises. Bamford et al. (2018) cited three (3) types of centralized organizational structure.

Simple structure

It has no functional or product categories and is appropriate for a small, entrepreneur-dominated company with one (1) or two (2) product lines that operate/s in a reasonably small, easily identifiable market niche. Employees here tend to be generalists and jack of all trades.

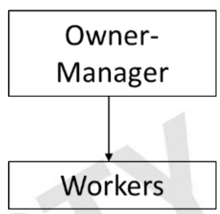

Figure 2. *Simple structure*

Source: Strategic Management and Business Policy (15th ed.), 2018, p. 176

Functional structure

It is appropriate for a medium-sized firm with several product lines in one industry. Employees here tend to be specialists in the business functions vital to that industry, such as manufacturing, marketing, finance, and human resources.

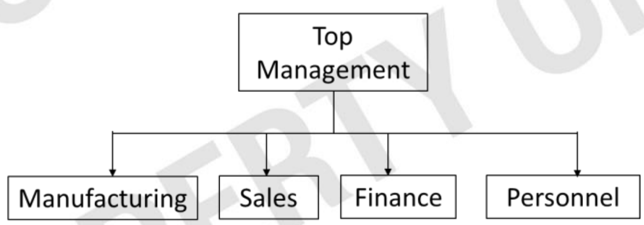

Figure 3. *Functional structure*

Source: Strategic Management and Business Policy (15th ed.), 2018, p. 176

Divisional structure
It is appropriate for a large corporation with many product lines in several related industries. Employees here are functional specialists organized according to product/market distinctions.

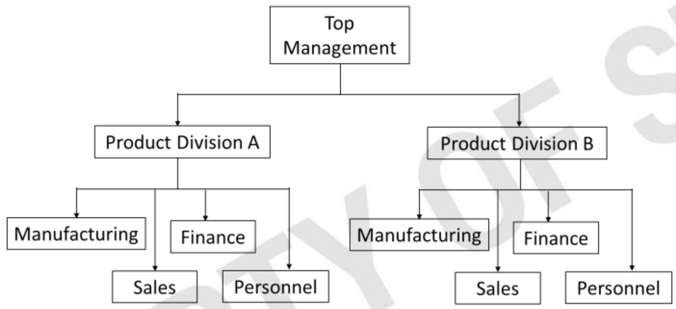

Figure 4. Divisional structure
Source: Strategic Management and Business Policy (15th ed.), 2018, p. 176

Leading and Directing Human Resources

A technopreneurial enterprise must know that its lifeblood is its people, and managing them under any given enterprise is imperative. At first, a start-up business might use a traditional organizational structure due to its simplicity and applicability to small businesses. However, as the business grows, employees with special skills are needed, and soon the organizational structure will evolve into something different to adapt to the changes.

After an organizational structure has been set, directing the employees is the next vital task. According to Medina (2015), direction refers to guiding and motivating employees to accomplish entrepreneurial objectives. It also involves explaining procedures, issuing orders and requests, and overseeing work to avoid errors and mistakes. An enterprise should have the necessary skills to communicate with subordinates, provide counseling services, motivate, and maintain the discipline to direct effectively.

For many organizations, whether large or small, a properly implemented people strategy can help grow the business. A **people strategy** is the organization's prioritized people plan that enables a business to be successful by attracting, developing, retaining, and inspiring the workforce. It is designed to inspire and achieve company-wide alignment on goals that concern the people.

The purposes of the People Strategy are as follows:
- It evaluates individuals accurately and in-depth.
- It provides a framework for identifying and developing leadership talent.
- It fills the leadership pipeline with the basis of a strong succession plan.

Very few companies accomplish all of these objectives well. One of the most significant shortcomings of the traditional people strategy is that it is *backward-looking*, focusing on evaluating the jobs people are doing at present. Far more important is whether the individuals can handle the jobs in the future as the company continues to grow.

Identifying the match between the right person and the job is not always as clear-cut. Sometimes it means replacing an excellent employee with a new one who is better equipped to take the business to the next level. While it might seem like a daunting task, a functional people strategy relies on the following key elements:

1. **Communicating with subordinates** – *Communication* is a meaningful exchange ofinformation through messages. This process can be verbal or non-verbal. The technopreneurial enterprise could use communication for the following functions:
   - ***Information function*** – Using communication to acquire information to make sound decisions
   - ***Motivational function*** – Using communication to motivate and encourage employees to contribute to attaining the goals of the business
   - ***Control function*** – Using communication as a tool to clarify terms of duties, methods, authority,and responsibilities given to each member of the enterprise

     Emotive function – Using communication to provide employees with an outlet for self-expression

2. **Providing counseling services** – Counseling is a talking therapy involving a therapist that the company employs to address the employees' emotional and psychological issues. In this day and age, emotional and psychological health should be the concern of everybody.

   Employees experience a multitude of challenges each day, both professional and personal. These emotional and psychological challenges can often be a blunder to an employee's efficiency and effectiveness in work. In one such study, it has been found that workplace counseling isgenerally effective in combating stress and that workplace therapists can facilitate strategiesand activities to create a workplace environment free from bullying (Edler, Agee, & Admson, 2018).

3. **Motivating employees** – Motivated employees are imperative to the success of the enterprise. Motivation is defined as a desire to act and move toward a goal. Employees are effective and efficient and tend to complain less if they are motivated. However, motivation does not come automatically.

   Technopreneurs should be able to find ways to motivate employees. Medina (2015) shared that the factors below should be addressed by the enterprise to motivate employees:
   - ***Improving employees' work conditions*** – includes providing air-conditioning systems, canteens, pantries, socials, team-building activities, and other activities and facilities that uplift the employees' spirits.
   - ***Modifying the organizational behaviors of the enterprise*** – means how peopleinteract with each other in a given organization.
   - ***Harnessing recognition and pride*** – means that recognition must be given whenever an employee does something positive with their work.
   - ***Financial incentives*** – should be given to those who have rendered flawless service to the enterprise or did something positive and beneficial to the organization.

4. **Maintaining discipline** – Most of the time, disciplinary measures are inevitable and need to be meted out to erring employees. Discipline is training individuals to complywith an organization's rules or some code of behavior.

According to Medina (2015), below are the common reasons for meting out disciplinary actions:

- Loafing or being idle (doing nothing during work-designated hours)
- Absenteeism and tardiness
- Fighting
- Falsifying records
- Insubordination

A technopreneur or any business owner should know that escalation degrees differ from one enterprise to another. Disciplinary procedure anchors itself to an employee's rights to due process. *Due process* is the innate right of any individual to receive fair treatment if allegations are pitted or errors are incurred against them.

Medina (2015) enumerated the typical progressive discipline procedure as follows:

- ***Verbal warning*** – This is the first level of disciplining an erring employee. Usually, the immediate head of the employee in question reprimands and gives a warning to the employee if such errors should happen again.
- ***Written warning*** – This is the second level of disciplining, where the human resource officeof an enterprise gives out a warning letter stating what the employee did and what consequences would happen if such behavior is not changed.
- ***One-day suspension*** – If the employee fails or repeats the error after being given a written reprimand, the enterprise may give out a one-day suspension without pay. It is served with a written explanation detailing the error leading to the suspension and the consequences if it happens again.
- ***Three-day suspension*** – When a similar error occurred to the same employee after a written reprimand and a one-day suspension, a three-day suspension with no pay couldbe expected.
- ***Termination*** – If repeated errors with written and verbal reprimands are given, and errors still occur, the company must part ways with the erring employee.

Though disciplinary actions are anchored with due process, some violations require grave penalties following Article 282 of the Labor Code of the Philippines, such as:

- **Serious misconduct** or **willful disobedience** by the employee of lawful orders of his employer or representative in connection with his work;
- **Gross** and **habitual neglect** by the employee of his duties;
- **Fraud** or **willful breach** by the employee of the trust reposed in him by his employer orduly authorized representatives;
- **Commission of a crime** or **offense** by the employee against his employer or anyimmediate member of his family or his duly authorized representatives and other similar causes.

Furthermore, Article 283 of the Labor Code of the Philippines states the enterprise can also cease the employment of a worker on authorized causes like business and health reasons, such as:

- Installation of labor-saving devices like machines, robots, and others;
- Redundancy of work;
- Retrenchment (reduction of costs) to prevent losses; and
- Closing or cessation of operation.

Ethics and Social Responsibility

According to Akhilesh Ganti (2022), social responsibility is an ethical framework that asserts that an individual must work and cooperate with other individuals and organizations to benefit society and their environment.

As it applies to business, social responsibility is called *Corporate Social Responsibility (CSR*). This self-regulating business model helps a company act responsibly in many ways, such as engaging in ethical labor practices, producing goods and services that are not harmful to society or the environment, preserving natural resources, and changing manufacturing processes to reduce carbon emissions.

The realization that businesses must adopt policies and engage in CSR emphasizes that a business's ability to maintain a balance between pursuing economic performance and adhering to societal and environmental issues is critical in operating effectively and efficiently.

Bamford, Hoffman, Hunger, and Wheelen (2018) cited Milton Friedman and Archie Carroll's two (2) contrasting views of the responsibilities of business firms to society as follows:

A. **Friedman's traditional view of business responsibility.** Milton Friedman argued against social responsibility as a function of business. According to Friedman, the primary social responsibility of a business is to use its resources and engage only in activities designed to increase profit so long as it stays within the rules of open and free competition without deception or fraud. One example is when a businessperson, who acts "responsibly" by cutting the price of the firm's product to aid the poor, making expenditures to reduce pollution, or hiring the hard-core unemployed, is spending the shareholder's money for general social interest.
B. **Carroll's four (4) responsibilities of business.** Archie Carroll proposed that the maximization of profits cannot be the primary obligation of a business. He suggested that business organizations have four (4) responsibilities as follows:
    - **Economic.** A business organization is responsible for producing goods and services of value to society so that the firm may repay its creditors and increase its shareholders' wealth. An example is how the launch of Apple's iPhone devices has changed society in many ways. It allows users to call, text, email, facetime, and use social networking more efficiently and faster. In return, Apple became the world's first $3 *trillion company.*
    - **Legal.** A business organization has legal responsibilities that governments define in laws that management is expected to obey. For example, U.S. business firms must hire and promote people based on their credentials rather than discriminate against non-job-related characteristics such as race, gender, or religion.
    - **Ethical.** A business organization is responsible for following society's generally held beliefs about behavior. An example is when society generally expects firms to work with the employees and the community in planning for layoffs, even though no law may require this. The affected people can get very upset if an organization's management fails to act according to prevailing ethical values.
    - **Discretionary.** A business organization has responsibilities that are purely voluntary on the part of the corporation. The difference between ethical and discretionary responsibilities is that few people expect an organization to fulfill discretionary responsibilities, whereas many expect an organization to fulfill ethical ones. Examples are philanthropic contributions, training unemployed people, and providing daycare centers.

Other Theories of Corporate Social Responsibility and Ethics

Other than Carroll and Friedman's opposing views, other known economists and philosophers gave their take on the role of Corporate Social Responsibility.

A. **Peter Drucker's view of social responsibility.** Peter Drucker suggests that companies should ensure that their social responsibilities also become business opportunities. Cohen (2010) cited that Drucker highlights considerations for workers that are part of the responsibility of a corporate leader just as much as the profits, survival, and growth of the business or organization. The management thoughts of Drucker about corporate social responsibility were summarized as follows:
   - **Government cannot solve many social problems.** It suggests that companies may tailor their program to help eradicate existing social problems while maintaining business stability and profitability.
   - **The corporate mission comes first. The** first social responsibility of the business is to make a profit sufficient to cover operational costs in the future. Once the organization failed in its primary mission, its initiative for social responsibility would go out of existence. So, if this basic social responsibility of fulfilling the organization's purpose is unmet, no other social responsibility can be met.
   - **The unlimited liability clause.** An unlimited liability clause means that the organization assumes full legal responsibility for the future outcome of its initiatives, the company's debts, and all other financial commitments.

B. **Albert Carr's view of social responsibility.** Carr argues that business is a game and that business ethics differs from personal life ethics. Wheelen (2018) cited that Carr views business practices such as bluffing and not telling the truth as normal and morally acceptable in business. Carr also claims that one cannot apply a single standard of ethics universally as situations differ.

C. **Edward Freeman's view of social responsibility.** Freeman holds a very favorable view of social responsibility. Wheelen (2018) cited that Freeman believes in a "Stockholder Theory," that any person or organization that has an underlying interest in the business should also play a role of participation in the business' actions and decisions --- responsibility to its customers, employees, financers, suppliers, and communities.

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